

BBHCSD City Schools

2020 Alternative Tax Budget

Each school district is required by law to adopt a tax budget and must file a copy of the adopted budget with the County Fiscal Officer on or before January 15th. The budget document is utilized by the County to determine the tax rate to be applied against property owners in the school district. This rate uses millage (inside millage and voted millage as determined by “**budget need**” for said millage). The County also uses the budget to provide the school district with their Certificate of Estimated Resources, which shows the allowable amount of funds that the district may appropriate by fund for the upcoming fiscal year (July 1 - June 30th).

Schedule 1

This schedule shows all the voted (outside) and unvoted (inside) levy millage of the district and the amount of property tax dollars being requested from these levies. The dollar amounts being requested on this schedule were calculated using the latest property valuations from the County Fiscal Officer’s Schedule A. You will note that the amounts being requested of the Budget Commission (column ix) is higher than what the district will actually receive. This is due to the fact that the **Maximum Rate Authorized** (voted tax rate) was used and not the effective rate calculated under House Bill 920. The reason that we use the voted tax rate is to ensure that the County Fiscal Officer assesses and collects all taxes available to the district.

The General Fund has numerous continuing levies to pay operating expenses of the district, including the most recent levy passed on May 2, 2017. Taxes levied upon property owners in the Brecksville-Broadview Heights School District are calculated from the current taxable valuation of \$1,131,943,150 (a/o 12/10/2018). The millage requested was approved by the community and we are asking the county fiscal officer to assess this amount. The Bond Retirement funds for school improvement levy are being used to pay off debt acquired to build the high school. The outstanding debt requirements from our current bond is shown on Schedule 4. The amount being requested is to cover the annual debt service amount coming due during this period. The Permanent Improvement Fund has two voted continuing levies. This money is used for funding improvements and ongoing maintenance. The Continuing levy has no expiration date unless repealed by a vote of the public.

Schedule 2

This schedule shows all funds of the district and their estimated financial activity for the 2019/2020 fiscal year. Each of the other fund’s activities shown on this schedule is based on prior history with exception of the General Fund, which contains the amounts shown on the five year forecast.

Schedule 3

This schedule would include any unvoted general obligation debt paid from inside/charter millage. The basic security for payment of general obligation debt is the requirement of a levy of property taxes within the 10 mill limitation imposed by Ohio law. Ohio law requires a levy and collection of ad valorem property tax to pay debt service on general obligation debt. Our District does **not** have any unvoted general obligation debt.

Schedule 4

This schedule shows all outstanding long term debt as of the beginning of the calendar year 2019 for all voted and unvoted (do not have) debt outside the 10 mill limit. Shown here is the voted bond issue for the High School construction. This schedule also shows the current debt amount due during calendar year 2019. In the end, the county fiscal officer determines and then assesses the necessary taxes to pay off this current debt amount due.

Schedule 5

This schedule would include tax anticipation notes. Our District does **not** have any tax anticipation notes.

Please call me if you have any questions or concerns on this document or the information shown. As required by law, we will hold a public hearing on the tax budget at the Organizational Meeting and then subsequently request you to approve it after the hearing is held and all questions answered.

ALTERNATIVE TAX BUDGET INFORMATION

Political Subdivision/Taxing Unit: Brecksville-Broadview Heights City School District
For the Fiscal Year Commencing July 1, 2019

Fiscal Officer Signature _____ Date: January 3, 2019

COUNTY OF CUYAHOGA

Background

Substitute House Bill No. 129 (HB129) effective June 3, 2002, was enacted by the 124th General Assembly in part to allow a county budget commission to waive the requirement that a taxing authority adopt a tax budget for a political subdivision or other taxing unit, pursuant to Ohio Revised Code (ORC) Section 5705.281.

Under the law in effect prior to June 3, 2002, the budget commission could only waive the tax budget for a subdivision or other taxing unit that was receiving a share of the county undivided local government fund or the county undivided local government revenue assistance fund under an alternative method or formula pursuant to ORC Sections 5747.53 and 5747.63. Thus, tax budgets could be waived only for counties, municipalities, townships, and park districts. This restriction is now removed.

Ohio Revised Code Section 5705.281

Under the amended version of this section pursuant to HB 129, a county budget commission, by an affirmative vote of a majority of the commission, including an affirmative vote by the county auditor, may waive the tax budget for any subdivision or other taxing unit. However, the commission may require the taxing authority to provide any information needed by the commission to perform its duties, including the division of the tax rates as provided under ORC Section 5705.04.

County Budget Commission Duties

The county budget commission must still certify tax rates to each subdivision or other taxing unit, by March 1 for school districts and by September 1 for all other taxing authorities under ORC Section 5705.35, even when a tax budget is waived. Also, the commission is still required to issue an official certificate of estimated resources under ORC Section 5705.35 and amended official certificates of estimated resources under ORC Section 5705.36.

Therefore, when a budget commission is setting tax rates based on a taxing unit's need, for purposes of ORC Sections 5705.32, 5705.34, and 5705.341, its determination must be based on that other information the commission asked the taxing authority to provide under ORC Section 5705.281, when the tax budget was waived. Also, an official certificate must be based on that other information the commission asked the taxing authority to provide.

County Budget Commission Action

On October 11, 2002, during the Cuyahoga County Budget Commission meeting, the commission with an affirmative vote of all members waived the requirement for taxing authorities of subdivisions or other taxing units (Including Schools) to adopt a tax budget as provided under ORC Section 5705.281, but shall require the filing of this Alternative Tax Budget Information document on an annual basis.

Alternative Tax Budget Information Filing Deadline

For all political subdivisions excluding school districts, the fiscal officer must file one copy of this document with the County Fiscal Officer on or before July 20th. For school districts the fiscal officer must file one copy of this document with the County Fiscal Officer on or before January 15th.

GUIDELINES FOR COMPLETING THE ALTERNATIVE TAX BUDGET INFORMATION

SCHEDULE 1

The general purpose of schedule 1 is to meet the requirement of Ohio Revised Code (ORC) Section 5705.04 which requires the taxing authority of each subdivision to divide the taxes levied into separate levies. For help use the schedule B issued by the budget commission for the current year and add any new levies. This will help to ensure that no levies are missed.

In column 1 list only those individual funds which are requesting general property tax revenue. In column 2 purpose refers to the following terms, inside, current expenses, and special levy for example. In column 4 levy type refers to renewal, additional, and replacement for example. In column 9 identify the amount of general property tax you wish to request.

NOTE:

The general purpose of column 9 is to demonstrate the need to produce property tax revenues to cover the estimated expenditures for the budget year. ORC Section 5705.341 states in part;

"Nothing in this section or any section of the ORC shall permit or require the levying of any rate of taxation, whether within the 10 mill limitation or whether the levy has been approved by the electors, the political subdivision or the charter of a municipal corporation in excess of such 10 mill limitation, unless such rate of taxation for the ensuing fiscal year is clearly required by a budget properly and lawfully, adopted under this chapter or by other information required per ORC 5705.281."

Property tax revenue includes real estate taxes, personal property taxes, homestead and rollback, and the personal property 10,000 exempt monies.

SCHEDULE 2

The general purpose of schedule 2 is to produce an Official Certificate of Estimated Resources for all funds.

In column 3, total estimated receipts should include all revenues plus transfers in excluding property taxes and local government revenue. All taxing authority must submit a list of all tax transfers.

SCHEDULE 3

The general purpose of schedule 3 is to provide inside/chapter millage for debt service. The basic security for payment of general obligation debt is the requirement of the levy of ad valorem property taxes within the 10 mill limitation imposed by Ohio law. Ohio law requires a levy and collection of ad valorem property tax to pay debt service on general obligation debt as it becomes due, unless that debt service is paid from other sources.

SCHEDULE 4

The general purpose of schedule 4 is to provide for the proper amount of millage to cover debt service requirements on voted bond issues. Major capital improvement projects are sometimes financed through the use of voted bonds. The taxing authority seeks voter approval of general obligation bonds and of the levy of property taxes outside the indirect debt limitation in whatever amount is necessary to pay debt service on those bonds.

SCHEDULE 5

The general purpose of schedule 5 is to properly account for tax anticipation notes. See schedule 5 for more details.

(Levies Inside & Outside 10 Mill Limitation, Inclusive Of Debt Levies)
(List All Levies Of The Taxing Authority)

Brecksville-Broadview Heights City School District

SCHEDULE 1

[illegible]

STATEMENT OF FUND ACTIVITY

(List All Funds Individually)

SCHEDULE 2

Brecksville-Broadview Heights City School District

Fund BY Type	Beginning Estimated Unencumbered Fund Balance	Total Estimated Receipts	Total Resources Available for Expenditures	Total Estimated Expenditures & Encumbrances	Ending Estimated Unencumbered Balance
General Fund - 001	13,715,000.00	50,000,000.00	63,715,000.00	50,700,000.00	13,015,000.00
SPECIAL REVENUE FUNDS					
Public School Support - 018	144,433.29	90,000.00	234,433.29	85,000.00	149,433.29
Other Grants - 019	156,344.60	125,000.00	281,344.60	90,000.00	191,344.60
Athletics - 300	172,942.39	475,000.00	647,942.39	500,000.00	147,942.39
Auxiliary Services - 401	0.00	300,000.00	300,000.00	300,000.00	0.00
OneNet - 451	0.00	10,800.00	10,800.00	10,800.00	0.00
Miscellaneous State Grants - 499	0.00	50,000.00	50,000.00	50,000.00	0.00
Title VI-IDEAB - 516	0.00	760,550.00	760,550.00	760,550.00	0.00
Title III (English as Second Language) - 551	0.00	17,100.00	17,100.00	17,100.00	0.00
Title III (Immigrant) - 551	0.00	2,850.00	2,850.00	2,850.00	0.00
Title I Grant - 572	0.00	286,475.00	286,475.00	286,475.00	0.00
Preschool - 587	0.00	20,400.00	20,400.00	20,400.00	0.00
Title II-A - 590	0.00	84,350.00	84,350.00	84,350.00	0.00
Title IV-A 599	0.00	36,525.00	36,525.00	36,525.00	0.00
TOTAL SPECIAL REVENUE FUNDS	473,720.28	2,259,050.00	2,732,770.28	2,244,050.00	488,720.28

STATEMENT OF FUND ACTIVITY

(List All Funds Individually)

Brecksville-Broadview Heights City School District

SCHEDULE 2

Fund BY Type	Beginning Estimated Unencumbered Fund Balance	Total Estimated Receipts	Total Resources Available for Expenditures	Total Estimated Expenditures & Encumbrances	Ending Estimated Unencumbered Balance
DEBT SERVICE FUNDS					
Bond Retirement - 002	4,000,000.00	2,671,385.83	6,671,385.83	2,267,675.33	4,403,710.50
TOTAL DEBT SERVICE FUNDS	4,000,000.00	2,671,385.83	6,671,385.83	2,267,675.33	4,403,710.50
CAPITAL PROJECTS FUNDS					
Permanent Improvement - 003	1,386,032.00	1,700,000.00	3,086,032.00	3,000,000.00	86,032.00
Building - 004	45,300,000.00	375,000.00	45,675,000.00	12,500,000.00	33,175,000.00
TOTAL CAPITAL PROJECTS FUNDS	46,686,032.00	2,075,000.00	48,761,032.00	15,500,000.00	33,261,032.00
ENTERPRISE FUNDS					
Food Service - 006	250,000.00	1,380,000.00	1,630,000.00	1,350,000.00	280,000.00
Uniform School Supplies - 009	222,206.00	275,000.00	497,206.00	250,000.00	247,206.00
Child Care - 020	325,000.00	500,000.00	825,000.00	450,000.00	375,000.00
TOTAL ENTERPRISE FUNDS	797,206.00	2,155,000.00	2,952,206.00	2,050,000.00	902,206.00
INTERNAL SERVICE FUNDS					
Special Rotary - 014	75,000.00	350,000.00	425,000.00	375,000.00	50,000.00
TOTAL INTERNAL SERVICE FUNDS	75,000.00	350,000.00	425,000.00	375,000.00	50,000.00
FIDUCIARY FUNDS					
Scholarship - 007	50,000.00	100,000.00	150,000.00	75,000.00	75,000.00
Unclaimed Money - 022	0.00	0.00	0.00	0.00	0.00
Student Activities - 200	125,000.00	200,000.00	325,000.00	275,000.00	50,000.00
TOTAL FIDUCIARY FUNDS	175,000.00	300,000.00	475,000.00	350,000.00	125,000.00
Total All Funds	65,921,958.28	59,810,435.83	125,732,394.11	73,486,725.33	52,245,668.78

(Include General Obligation Debt To Be Paid From Inside/Charter Millage Only)
(Do Not Include General Obligation Debt Being Paid By Other Sources)
(Do Not Include Special Obligation Bonds & Revenue Bonds)

SCHEDULE 3

I Purpose Of Bonds Or Notes	II Date Of Issue	III Final Maturity Date	IV Principal Amount Outstanding At The Beginning Of The Calendar Year	V Amount Required To Meet Calendar Year Principal & Interest Payments
None			\$0.00	\$0.00
Totals			\$0.00	\$0.00

VOTED DEBT OUTSIDE 10 MILL LIMIT

(Bonds Or Notes Must Actually Be Issued In Order To Commence Collection Of Property Taxes For Debt Service)

Brecksville-Broadview Heights City School District

SCHEDULE 4

I Purpose Of Notes Or Bonds	II Authorized By Voters On MM/DD/YY	III Date Of Issue	IV Final Maturity Date	V Principal Amount Outstanding At The Beginning Of The Year	VI Amount Required To Meet Budget Year Principal & Interest Payments
New High School Bonds 2013 Refunding	11/08/94	12/21/06	12/01/21	\$6,280,000.00	\$2,267,675.33
Total				\$6,280,000.00	\$2,267,675.33

TAX ANTICIPATION NOTES

(Schools Only)

Brecksville-Broadview Heights City School District

SCHEDULE 5

Tax anticipation notes are issued in anticipation of the collection of the proceeds of a property tax levy. The amount of money required to cover debt service must be deposited into a bond retirement fund, from collections and distribution of the tax levy, in the amounts and at the times required to pay those debt charges as provided in the legislation authorizing the tax anticipation notes. (ORC Section 133.24)

The appropriation to the fund which normally receives the tax levy proceeds is limited to the balance available after deducting the amounts to be applied to debt service.

After the issuance of general obligation securities or of securities to which section 133.24 of the ORC applies, the taxing authority of the subdivision shall include in its annual tax budget, and levy a property tax in a sufficient amount, with any other monies available for the purpose, to pay the debt charges on the securities payable from property tax. (ORC Section 133.25)

Amount Required To Meet Budget Year Principal & Interest Payments:	Name of Tax Anticipation Note Issue	Name of Tax Anticipation Note Issue
Principal Due	None	
Principal Due Date		
Interest Due		
Interest Due Date		
Interest Due		
Interest Due Date		
Total		
Name Of The Special Debt Service Fund		

Amount Of Debt Service To Be Apportioned To The Following Settlements:		
February Real		
August Real		
June Tangible		
October Tangible		
Total		
Name Of Fund To Be Charged		